

ECONOMICS

Paper 1 Multiple Choice

2281/12

May/June 2019

45 minutes

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Solved by :-

Zarrak Mushtaq

This document consists of **10** printed pages and **2** blank pages.

- 1 A government wishes to increase agricultural output. It gives farmers the tools to irrigate the farmers' fields.

Which factors of production are provided by the farmers?

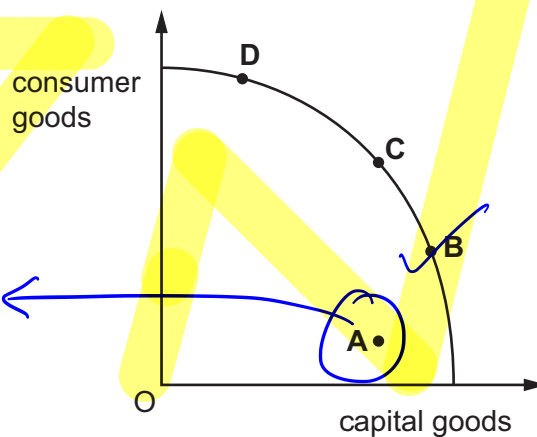
- A capital and enterprise
 B enterprise and labour
 C labour and land
 D land and capital

* Land for farming
 * workers/labours to irrigate

- 2 The diagram shows a production possibility curve (PPC) for an economy that produces both capital goods and consumer goods.

At which point will the economy show the highest potential for sustained long run economic growth?

* Among B, C, D :-
 B represents highest capital goods
 * Inefficient point



more of capital goods
 ↓
 long term investment

- 3 In recent years more golf courses, which use large quantities of water, have opened in China. What may be the opportunity cost of this?

- A cost of water
 B loss of farmland
 C sales of golf equipment
 D wages of golf course staff

can be used somewhere else
 e.g. loss of farmland

- 4 Cuba is implementing free market reforms.

What is a likely advantage of this?

- A a wider variety of goods and services produced
 B greater equality between the different groups in society
 C increased provision of public goods
 D less consumption of goods with external costs

Yes, choices will increase

no, free rider problem

more

market economy

PC :- Private cost
 EB :- External benefit

3

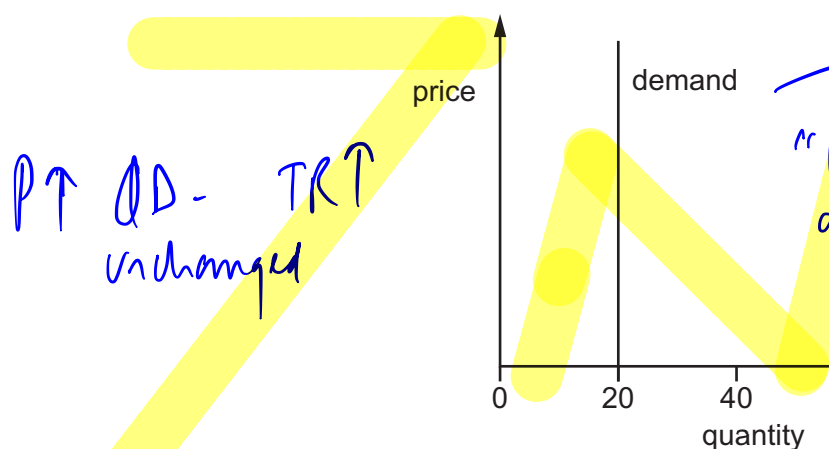
- 5 An airline upgrades its services by providing bigger aircraft. The airline claims it will reduce catering waste and lower carbon (CO₂) emissions per passenger journey although fares may rise.

What is a private cost and an external benefit of this decision?

	private cost	external benefit
A	bigger aircraft	higher fares
B	higher fares	lower CO ₂
C	less catering waste	bigger aircraft
D	lower CO ₂	less catering waste

High price to be paid,
 private cost ↑

- 6 What can be concluded from the demand curve for the product shown in the diagram?



perfectly inelastic
 "When all econ teachers are dead, only 2m lives"
 2m!

- A Price increases will raise the producers' revenue.
 B Producers are unable to respond to a price rise. Producers can, consumers can't
 C The product is one with many substitutes. No substitutes
 D There are 20 people able to buy the product. It's units

- 7 A mobile (cell) phone operator increases the price of making calls on its network. After the price increase, the revenue of the mobile phone operator falls by 10%.

What is the price elasticity of demand (PED) for the mobile operator's service?

- A elastic
 B inelastic PT TR ↑
 C perfectly elastic Prices unchanged
 D unit elastic TR :- unchanged

PT TR ↓, Elastic,
 as there are
 substitutes
 available.

Individual, firm, International
4

$\frac{\text{Total output}}{\text{No. of inputs}}$

8 Why does specialisation increase the productivity of employees?

A Average cost of production increases. $AC \downarrow$

B Staff turnover is high. productivity $\downarrow$

✓ C Time is saved by not moving between tasks.

→ Focusing on single task

D Workers lose interest in their job. productivity $\downarrow$

same resources
greater output

9 In recent years some central banks have reduced interest rates below 1% per year.

What is the purpose of this monetary policy?

A to discourage lending by the commercial banks

✓ B to encourage investment to stimulate the economy

C to increase individual savings

D to reduce inflation $R \downarrow, C \uparrow, I \uparrow, AD \uparrow, P \uparrow$

$R \downarrow$
Cost of Borrowing $\downarrow$
 $I \uparrow$

10 What is the most important factor that affects how much a family saves?

✓ A the income of the family

B the level of taxation

C the rate of inflation

D the reliability of banks

↓
All depends on
Income

* Other options affects
later

purchasing power

- 11 The table shows the change in real incomes for a number of occupations between 1985 and 2015.

	occupation	change in real income %
<i>Professionals</i> ✓	doctors	153
	lawyers	114
	accountants	60
<i>manual</i> [	bricklayers	37
	bus and coach drivers	19
	fork-lift truck drivers	-5

Data in %

What can be concluded from the table?

- A All occupations were better off in 2015 than in 1985. *see Fork lift truck drivers*
- B Fork-lift truck drivers earned the lowest wages in 2015. *Data in %*
- C Doctors have earned more than lawyers since 1985. *Data in %*
- D Professionals received higher percentage increases in income than manual workers. *yes*

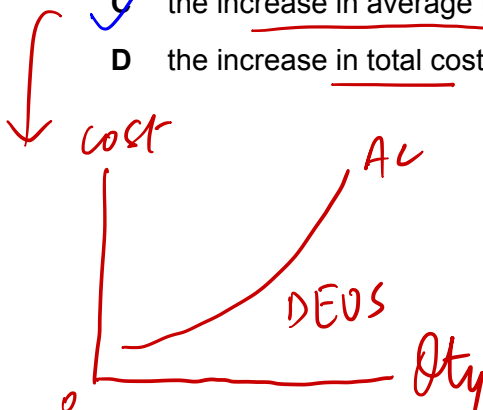
In terms of production

- 12 What is the main difference between capital-intensive production and labour-intensive production?

- A the market structure of the production process
- B the output that the production process creates
- C the resources on which the production relies *machines vs labour*
- D the size of the firm that uses the production process

- 13 What is the definition of diseconomies of scale? *Decreasing returns to scale / AC ↑*

- A the decrease in average revenue as output increases *This means fall in Price*
- B the decrease in fixed cost as output increases *Fixed cost doesn't change with Q*
- C the increase in average total costs as output increases
- D the increase in total costs as output increases *It's obvious but doesn't define DEOS*

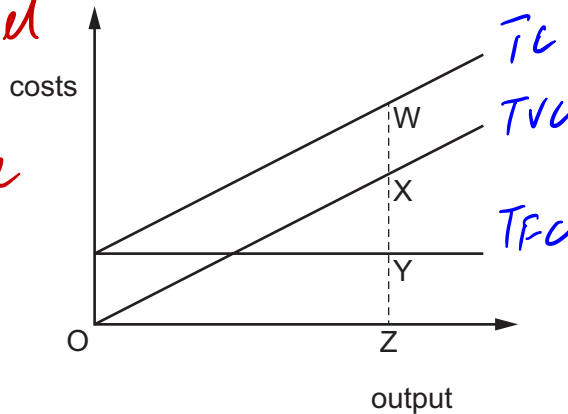


14 The diagram shows the fixed costs, variable costs and total costs of a firm.

Tc and Tvc are parallel lines, the gap between them is fixed, and the gap is fixed cost.

$$TC = FC + VC$$

$$TC - VC = FC$$



Which distance represents the firm's fixed costs?

☒ A WX

☐ B WY (VC)

☐ C XY

☐ D XZ (VC)

15 An entrepreneur buys a workshop for \$200 000 to make plastic boxes. In the first year of operation he spends \$70 000 on materials, employs ten production workers paid by the amount produced (piece rate) at a total cost of \$80 000 and buys two delivery vehicles for \$10 000 each.

What are his total variable costs?

☐ A \$100 000

☒ B \$150 000

☐ C \$220 000

☐ D \$370 000

$$80 + 70 = 150$$

16 What is most likely to cause a rise in the rate of inflation in an economy?

☐ A a fall in import prices *M (FE) ↑, AD ↓, P ↓*

☐ B a fall in wage rates *cost ↓, AS ↑, P ↓*

☒ C a rise in the level of government spending *G ↑, AD ↑, P ↑*

☐ D a rise in the level of unemployment, *spend ↓, C ↓, AD ↓*

17 The government increases taxation in order to fund an increase in spending on government training schemes.

Which policy combination would this involve?

☐ A fiscal policy and monetary policy only *MS, R, ER*

☒ B fiscal policy and supply-side policy only

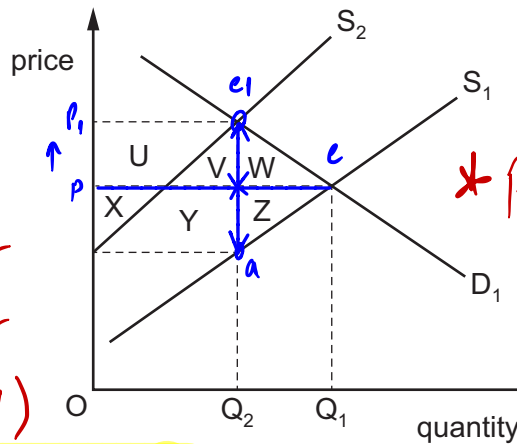
☐ C monetary policy and supply-side policy only

☐ D monetary policy, supply-side policy and fiscal policy

Supply side

↳ Fiscal policy

18 The diagram shows the effect of the imposition of a tax on a product.



* Increase in price from initial equilibrium to new equilibrium price is the extra amount paid by consumers, thus it is consumer Burden (U+V)

* Vertical distance between 2 supply curves is per unit tax i.e. $e_1 a$

* Per unit tax is divided among consumers and producers, as consumer Burden and producer Burden.

Which area represents the part of the tax paid by consumers of the product?

- ✓ A U + V
 B U + V + W (loss of C.S → part of AS)
 C U + V + X + Y (C.B + P.B)
 D U + X (P.S → part of AS)

19 Why might a government decide to subsidise a high-cost steel industry?

- A if cheaper imports of steel are improving the balance of payments *Then why subsidizing*
 B if economic growth is increasing due to the success of other industries *Then why giving*
 C if redundant steel workers can easily be retrained *No need for subsidy if they can be adjusted*
 D if unemployment in steel producing areas is increasing *subsidy to steel if other are a success.*
 → To protect employment, subsidy is given, so firms can survive.

20 The table shows possible sequences between the rate of interest and other economic variables.

Which sequence is the **most** likely?

	interest rate	borrowing	investment	GDP
A	higher	decrease	decrease	decrease
B	higher	decrease	increase	increase
C	lower	increase	decrease	decrease
D	lower	increase	increase	increase

$r \downarrow$, cost of Borrowing $\downarrow$, Borrow $\uparrow$, Invest $\uparrow$, AD $\uparrow$, GDP $\uparrow$

Real GDP per head, life expectancy (longevity),
 literacy (Education enrollment)

21 Why is the Human Development Index (HDI) a better measure of living standards than GDP per head?

- A It takes into account changes in output.
- B It takes into account changes in population.
- ☒ C It takes into account health and education data.
- D It takes into account inflation.

Covers under
 GDP per head /
 capita

Search / voluntary

22 What describes frictional unemployment?

- A unemployment caused by a general fall in economic activity Demand deficient
- B unemployment caused by the time of year seasonal
- C unemployment caused by wages being too high cost ↑ (lay off)
- ☒ D unemployment caused by workers searching for jobs

23 In January 2016 the rate of inflation in a country changed from 3% to 2%. In March 2016 the rate of inflation was 4%.

What happened to the price level in January and March?

	January	March
A	fell	fell
B	fell	rose ✓
C	rose ✓	fell
☒ D	rose ✓	rose ✓

Rate ↓, prices are still increasing
 at a decreasing rate

Rate ↑, prices are increasing at
 increasing rate

Only when -ve, it will fell

24 What usually happens as a developing country becomes more developed?

- A The average age of the population falls. Average age ↑.
- ☒ B The fertility rate declines.
- C The infant mortality rate increases. Decreases
- D The primary sector expands. more of tertiary

* The total fertility rate in a specific year is defined as the total number of children that would be born to each woman if she were to live to the end of her child-bearing years and give birth to children in alignment with the prevailing age-specific fertility rates.

EK man

Kitne bacho ko paida karhi hai :- Fertility rate

- 25 Given the following information, which country is most likely to have the highest standard of living?

		low	low	high	low
		birth rate	death rate	life expectancy	infant mortality rate
A	Bangladesh	27 ✓	10 ✓	58 ✓	93
B	Bhutan	36	14	53	107
C	Botswana	31	21	40	57 ✓
☒ D	(Brunei) (Best)	1 st 25 ✓	1 st 5 ✓	1 st 72 ✓	1 st 22 ✓

- 26 In a country the birth rate increased but the population decreased.

What could have happened to other factors to cause this?

- A a fall in infant mortality but no change in the death rate *B.R ↓*
 B a rise in net immigration but no change in the death rate *Population ↑*
☒ C no change in migration but the death rate rose *B.R ↑*
 D the death rate fell with no change in migration *Population ↑*

- 27 The US government decides to reduce the size of the quota on a good it buys from China.

What is likely to happen?

- A The good will become cheaper in the US. *Expensive*
 B The US balance of trade will worsen. *Improves*
 C The US government's revenue will decline. *No revenue in Quota*
☒ D There will be less of the good imported into the US. *as quantity is restricted.*

- 28 The world demand for oil is price-inelastic and oil is paid for in US dollars.

If the price of oil falls rapidly, how might it affect the exchange rate of the US dollar?

	market for US dollar	exchange rate for US dollar
A	greater demand for US\$	value increases
B	greater supply of US\$	value falls
☒ C	<u>less demand</u> for US\$	<u>value falls</u>
D	less supply of US\$	value increases

*P ↓, Inelastic, T.E ↓, Less to be paid, Less \$ Bought,
 Demand ↓, value ↓, Depreciation*

29 What is the most likely disadvantage of international specialisation?

- A decreased levels of global output *It increases*
 B increased average production costs *It decreases*
 C increased productivity levels *It's an advantage*
 ✓ D overdependence on other economies *Everything else will be imported*

30 A large amount of the agricultural products in a country were damaged by floods.

What is likely to have happened to the price of agricultural products and the volume of imports of agricultural products?

	price of products	<i>Qty</i> volume of imports
A	fall	fall
B	fall	rise ✓
C	rise ✓	fall
✓ D	rise ✓	rise ✓

*Supply ↓
prices ↑*

*↓
as most is
damaged, more
will be required
to import.*

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